

Shapley R^2 decomposition

Govt should be responsible for reducing income differences (Stantcheva 2020/21)

Full model $R^2 = 0.165$, $N = 2,720$ (complete-case)

By variable

#	Variable	% R^2
1	raising income tax on high earners would hurt/help the economy	29.0%
2	why a person is rich: effort vs. advantages	16.5%
3	upper-middle class mostly wins if overall taxes are increased	8.5%
4	middle class mostly wins if overall taxes are increased	7.9%
5	working class mostly wins if overall taxes are increased	6.5%
6	age in years	5.5%
7	Laffer effect: tax cuts on high-income households and the deficit	5.1%
8	lower class or poor mostly wins if taxes on high earners are cut	4.7%
— variables with <3% contribution omitted —		

By cluster

#	Cluster	% R^2
1	aggregate incentives / inequality positive-sum	35.3%
2	policy incidence	33.9%
3	wealth from effort/merit	16.5%
4	age	5.5%
5	individual incentives / tax elasticity	5.5%
— clusters with <5% contribution omitted —		